

CHURCH DIRECTORS AND OFFICERS LIABILITY COVERAGE FORM

THIS IS A CLAIMS MADE POLICY COVERING ONLY DEFINED CLAIMS FIRST MADE DURING THE POLICY PERIOD.

VARIOUS PROVISIONS IN THIS POLICY RESTRICT COVERAGE. READ THE ENTIRE POLICY CAREFULLY TO DETERMINE YOUR RIGHTS AND DUTIES, AND WHAT IS AND WHAT IS NOT COVERED. WE WILL HAVE NO LIABILITY TO PAY SUMS OR PERFORM ANY ACTS OR SERVICES UNLESS EXPLICITLY PROVIDED FOR IN THIS POLICY.

THE EXPENSES WE INCUR TO DEFEND COVERED CLAIMS ARE INCLUDED IN THE LIMIT OF INSURANCE STATED IN ITEM 4. OF THE DECLARATIONS. REFER TO SECTION I FOR A DESCRIPTION OF OUR DUTY TO PROVIDE A DEFENSE.

THIS POLICY APPLIES IN EXCESS OF RETAINED AMOUNTS WHICH ARE YOUR RESPONSIBILITY. READ SECTION IV. FOR A DESCRIPTION OF THESE RETAINED AMOUNTS.

THROUGHOUT THIS POLICY THE WORDS "YOU" AND "YOUR" REFER TO THE NAMED INSURED SHOWN IN ITEM 1. OF THE DECLARATIONS, A NOT-FOR-PROFIT ORGANIZATION. THE WORDS "WE", "US" AND "OUR" REFER TO THE COMPANY PROVIDING THIS INSURANCE. OTHER WORDS AND PHRASES THAT APPEAR IN QUOTATION MARKS HAVE SPECIAL MEANING. REFER TO SECTION VIII – DEFINITIONS OF THIS POLICY.

In reliance on the statements you and all other insureds made to us, we agree to provide the insurance described in this policy and in any attached endorsements. In return, you must pay the premium and comply with the policy terms.

By accepting this policy, you and all other insureds agree that:

1. The statements in the Declarations attached to and forming a part of this policy are the agreements and representations of each and every insured;
2. We have issued this policy in reliance on the truth of such representations which we consider to be important and material; and
3. This policy contains all agreements existing between the insureds and us or any of our agents.

The application is agreed to be a separate application for coverage by each insured. We shall not impute any statement made in the application by one insured to any other insured to determine whether coverage applies. But you will be deemed to know any material facts or circumstances known to those who signed the application for the purpose of determining coverage.

SECTION I – COVERAGE

1. Insuring Agreement

- a. We will pay on behalf of any of your “Directors” or “Officers” any “loss” which they become legally obligated to pay (jointly or severally) arising from any claim or claims first made during the policy period as a result of a “wrongful act” to which this insurance applies and which did not occur before the Retroactive Date, if any, shown in the Declarations or after the end of the policy period. But we will only pay “loss” in excess of the Retention amount shown in Item 5. of the Declarations.
- b. We will pay on your behalf “loss” arising from any claim or claims first made during the policy period against your “Directors” or “Officers” (jointly or severally) as a result of a “wrongful act” to which this insurance applies and which did not occur before the Retroactive Date, if any, shown in the Declarations or after the end of the policy period, but only when you are required or permitted by law or by the organization’s charter or bylaw provisions to indemnify your “Directors” or “Officers” for such loss. We will only pay “loss” in excess of the Retention amount shown in Item 5. of the Declarations.

2. Defense Expense And Settlement

- a. It shall be the duty of the insured and not the company to defend claims. We shall have the option, upon written request, to advance on behalf of the “Directors” or “Officers” (jointly or severally) expenses that they may incur in connection with claims made against them prior to the final disposition of such claims. However, such payments we make shall be repaid by the “Directors” or “Officers” in the event that it is finally determined that the “Directors” or “Officers” are not entitled to payment of such expenses.
- b. No costs or “defense expenses” shall be paid, or settlement made or offer extended, without our consent. In the event such consent is given, we will pay such costs, expenses or settlement subject to the provisions of Paragraph 2.a. above and Section IV – Limits of Insurance.

3. Supplementary Payments

We will pay, with respect to any claim we investigate or settle, or any “suit” against an insured we defend:

- a. All expenses we incur.
- b. The cost of bonds to release attachments, but only for bond amounts within the applicable limit of insurance. We do not have to furnish these bonds.
- c. All reasonable expenses incurred by the insured at our request to assist us in the investigation or defense of the claim or “suit”, including actual loss of earnings up to \$500 a day because of time off from work.
- d. All costs taxed against the insured in the “suit”.
- e. Prejudgment interest awarded against the insured on that part of the judgment we pay. If we make an offer to pay the applicable limit of insurance, we will not pay any prejudgment interest based on that period of time after the offer.
- f. All interest on the full amount of the judgment that accrues after entry of the judgment and before we have paid, offered to pay, or deposited in court the part of the judgment that is within the applicable limit of insurance.

These payments will not reduce the Limits of Insurance.

4. When Our Defense Ends

When our defense of suits and payment of expense ends:

- a. We will notify the first Named Insured as soon as practicable of any outstanding claims or “suits” for which our defense has ended.
- b. We will notify any insured, as soon as practicable, of any outstanding “suits” in which we are defending that insured and for which our defense has ended.
- c. You and any other involved insured will, as soon as practicable, arrange for the defense of those outstanding “suits” and any future “suits” for which our defense has ended.

- d. We will cooperate in arranging for the transfer of defense of those outstanding "suits".
- e. Until those arrangements are complete, we will take on behalf of the insured those steps we think appropriate:

- (1) To avoid a default in any "suit"; or
- (2) To the continued defense of any "suit" and

You will reimburse us, if we take such steps, for any "defense expense" we pay.

SECTION II – WHO IS AN INSURED

Each of the following is an insured:

- 1. With respect to Insuring Agreement **1.a.**:
 - a. Your "Directors" and "Officers", except as shown in Item 7. of the Declarations; and
 - b. "Directors" and "Officers" of any "subsidiary" you newly acquire or form, other than a partnership or joint venture, and over which you maintain control, ownership or majority interest. We must receive written notice within 90 days of the newly acquired or formed "subsidiary". We can require information about any "subsidiary" and reserve the right after reviewing said information to amend the policy, including the policy premium.
- 2. With respect to Insuring Agreement **1.b.**, the Named Insured shown in Item 1. of the Declarations.

SECTION III – EXCLUSIONS

This insurance does not apply to:

1. Bodily Injury

Any "loss", cost or expense arising out of any actual or alleged property damage, mental injury, mental anguish, sickness, disease or death of any person.

2. Counseling Services

Any "loss", cost or expense arising out of any actual or alleged act, error or omission in the providing of or failure to provide counseling services.

3. Employment-Related Practices

Any "loss", cost or expense arising out of any actual or alleged:

- a. Refusal to employ a person;
- b. Termination of a person's employment; or
- c. Employment-related practices, policies, acts or omissions, including but not limited to coercion, demotion, evaluation, reassignment, discipline, defamation, harassment, humiliation or discrimination directed at that person.

4. ERISA Claims

Any claim based on:

- a. The Employee Retirement Income Security Act of 1974, Public Law 93-406, any amendments to that law, or any regulations promulgated under that law; or
- b. Any similar provision of any federal, state, or local law or regulation.

5. Failure to Maintain Insurance

Any "loss", cost or expense arising out of the failure or omission on the part of the "Directors" or "Officers" to effect, procure or maintain insurance or failure or omission with respect to insurance amount, form, conditions or provisions.

6. Outside Directorships

Any "loss", cost or expense arising out of the services of any insured as a director, officer or trustee for any entity other than the Named Insured, even if directed or requested to serve by the Named Insured.

7. Personal or Advertising Injury

Any "loss", cost or expense arising out of any actual or alleged personal injury or advertising injury.

8. Pollution

"Loss", cost or expense which would not have occurred in whole or in part except for the:

- a. Ingestion, inhalation, absorption, adsorption of "pollutants";
- b. Exposure to "pollutants";
- c. Actual, alleged or threatened discharge, dispersal, seepage, migration, release or escape of "pollutants" at any time;
- d. Request, demand or order that any insured or other test for, monitor, clean up, remove, contain, treat, detoxify or neutralize, or in any way respond to, or assess the effects of "pollutants"; or
- e. Claim or suit by or on behalf of a governmental authority for damages because of testing for, monitoring, cleaning up, removing, containing, treating, detoxifying or neutralizing, or in any way responding to, or assessing the effects of, "pollutants".

9. Prior Acts or Claims

Any "loss", cost or expense arising out of:

- a. Any "wrongful act" which has been the subject of any claim or notice given under any prior policy;
- b. Any fact, circumstance or situation which underlies or is alleged in any prior or pending litigation as of the inception date of this policy; or
- c. Any claim brought against any "subsidiary" and its "Directors" or "Officers" for "wrongful acts" which occurred prior to the date the entity became your subsidiary.

10. Professional Services

Any "loss", cost or expense arising out of any actual or alleged act, error or omission in the providing of or failure to provide professional services, including, but not limited to, nursing, social, and similar professional services or supplies.

11. Property Damage

Any "loss", cost or expense arising out of any actual or alleged damage to or destruction of any tangible property, including the loss of use of that property.

12. Sexual Conduct

Any "loss", cost or expense arising out of any actual or alleged act of "sexual misconduct or sexual molestation", including on account of any negligent hiring or transfer of, failure to supervise, or failure to dismiss any employee, temporary worker or volunteer worker alleged to have committed any "sexual misconduct or sexual molestation".

- 13.** Except as "loss", cost or expense may be covered under Insuring Agreement **1.b.**, this insurance does not apply to any claim made against the "Directors" or "Officers":

- a. For libel or slander;
- b. Based on any personal profit or advantage of the "Directors" or "Officers" to which they were not legally entitled.
- c. For the return by the "Directors" or "Officers" of any remuneration paid to them if such payment is held by the courts to be in violation of law;

- d. Based on or attributable to the dishonesty of the "Directors" or "Officers" where it has been legally determined that a "Director" or "Officer" has committed active and deliberate acts of dishonesty material to the claim;
- e. For an accounting of profits or losses made from the purchase or sale of securities under:
 - (1) The Federal Securities Act of 1933, the Security Exchange Act of 1934, the Public Utilities Holding Company Act of 1935, the Investment Company Act of 1940, or to any amendments of or additions to any of these acts; or
 - (2) The rules and regulations of any security, commodity or similar exchange; or
 - (3) Any statute of regulation of any Province in the Dominion of Canada or any statute or regulation of the Federal Government of Canada relating to the purchase, sale or disposition of securities.

No "wrongful act" of any "Director" or "Officer" shall be imputed to any other "Director" or "Officer" for the purposes of determining the applicability of the exclusions under Paragraph 13. above.

SECTION IV – LIMIT OF INSURANCE AND RETENTION

- 1. The retention amount shown in Item 5. of the Declarations as applying to Each Loss is the amount of liability retained by you in each and every claim. We will not pay for any "loss" until the amount of "loss" exceeds the retention. We will then pay the amount of "loss" in excess of the retention, up to the Limit of Insurance.
- 2. The Limit of Insurance shown in Item 4. of the Declarations is the most we will pay:
 - a. Regardless of the number of insureds, claims made or suits brought, or persons or organizations making claims or bringing suits;
 - b. For the sum of all "loss" and all "defense expenses" under all Insuring Agreements combined in each policy year during the policy period. This applies regardless of when we make our payment.
- 3. Each payment we make for "loss" or "defense expenses" reduces the Limit of Insurance by the amount we pay. This reduced Limit of Insurance will then be available for further "loss" and "defense expenses".
Once we have exhausted the Limit of Insurance by paying "loss", we shall have no further obligations under this policy.
- 4. The combined maximum Limit of Insurance in the last policy year of the policy period shall not be increased as a result of any extended reporting period.
- 5. "Loss" arising out of the same "wrongful act" or interrelated, repeated, or continuous "wrongful acts" of one or more of the "Directors" or "Officers" shall be considered a single "loss" and shall be subject to only one retention.

SECTION V – NOTICE OF CLAIM

- 1. A claim is considered first made against an insured on the date the insured receives written or oral notice from any party that it is the party's intention to hold any insured responsible for a "wrongful act". All claims brought against insureds that arise from the same "wrongful act" or a series of related "wrongful acts" will be deemed to be a single claim made as of the date the first of any such claims is made against any one insured.
- 2. In the event that a claim is made against the insured, the insured shall, as a condition precedent to the insured's rights and our obligations under this policy, give us written notice as soon as practicable during the policy period or, if applicable, the extended reporting period.
- 3. Any insured which, during the policy period, learns of circumstances that may lead to a claim being made against any insured may give us written notice, including full details about the specific "wrongful act" involved. If we are given such notice during the policy period, claims made against insureds that arise out of that "wrongful act" will be considered to have been made on the date that we receive the written notice.

SECTION VI – EXTENDED REPORTING PERIOD

1. We will provide one or more of the Extended Reporting Periods described below if:
 - a. This coverage form is cancelled or not renewed for any reason except nonpayment of premium; or
 - b. We renew or replace this coverage form with insurance that:
 - (1) Has a Retroactive Date later than the one shown in the Declarations Page; or
 - (2) Does not apply to injury that arises out of “wrongful acts” on a claims-made basis.
2. Extended Reporting Periods do not extend the policy period, change the scope of coverage provided, or reinstate the Limit of Insurance. They apply only to “loss” arising out of “wrongful acts” that occur before the end of the policy period but not before the retroactive date, if any, shown in the Declarations.

3. Basic Extended Reporting Period

A Basic Extended Reporting Period is automatically provided without additional charge. This period starts with the end of the policy period and lasts for 60 days. The Basic Extended Reporting Period does not apply to claims that are covered under any subsequent insurance you purchase, or that would be covered but for exhaustion of the Limit of Insurance.

4. Supplemental Extended Reporting Period

A Supplemental Extended Reporting Period of 12 months is available, but only by endorsement and for an extra charge. This supplemental period starts 60 days after the end of the policy period. You must request the Supplemental Extended Reporting Period Endorsement within 60 days after the end of the policy period. The Supplemental Extended Reporting Period will not go into effect unless the additional premium is paid promptly and in full, when due. The additional premium for the Supplemental Extended Reporting Period will be 25% of the annual premium for this policy.

SECTION VII – CONDITIONS

1. Acceptance

By accepting this policy, you agree to act on behalf of all “Directors” and “Officers” with respect to the giving and receiving of notice of claim or cancellation, the payment of premiums and the receiving of any return premiums that may become due under this policy; and the “Directors” and “Officers” agree that you shall act on their behalf.

2. Changes

This policy contains all the agreements between you and us concerning the insurance we provide. Its terms and conditions can only be waived or changed by endorsement issued by us and made a part of this policy.

3. Assignment

No interest under this policy may be assigned without our written consent.

4. Bankruptcy

Bankruptcy or insolvency of any insured or of any insured's estate will not relieve us of our obligations under this Coverage Form.

2. Duties In The Event Of A "Wrongful Act", Claim or "Suit"

- a.** You must see to it that we are notified as soon as practicable of any "wrongful act" which may result in a claim. To the extent possible, notice should include:
 - (1)** Specific circumstances surrounding the "wrongful act", including how, when and where the "wrongful act" took place;
 - (2)** The names and addresses of any injured persons and witnesses; and
 - (3)** The nature of the injury arising out of the "wrongful act".
- b.** If a claim is made against any insured, you must:
 - (1)** Immediately record the specifics of the claim and the date received; and
 - (2)** See to it that we receive written notice of the claim as soon as practicable.
- c.** You and any other involved insured must:
 - (1)** Immediately send us copies of any demands, notices, summonses or legal papers received in connection with the claim or "suit";
 - (2)** Authorize us, at our request, to obtain records and other information;
 - (3)** Cooperate with us in the investigation or settlement of the claim or defense against the "suit"; and
 - (4)** Assist us, at our request, in enforcing any right of recovery against any person or organization which may be liable to the insured, and do nothing to prejudice any rights of recovery that may exist.
- d.** No insured will, except at that insured's own cost, voluntarily make a payment, assume any obligation, or incur any expense without our consent.

3. Separation Of Insureds

Except with respect to the Limits of Insurance and any rights or duties specifically assigned in this Coverage Form to the first Named Insured, this insurance applies:

- a.** As if each Named Insured were the only Named Insured; and
- b.** Separately to each insured against whom claim is made or "suit" is brought.

4. Conformance To Statute

Terms of this policy which are in conflict with the statutes of those states where certain provisions and coverages included under this policy are not permitted are hereby amended to cover only those provisions and coverages as apply and conform to such statutes.

5. Legal Action Against Us

No person or organization has a right under this Coverage Form:

- a.** To join us as a party or otherwise bring us into a "suit" asking for damages from an insured; or
- b.** To sue us on this Coverage Form unless all of its terms have been fully complied with.

A person or organization may sue us to recover on an agreed settlement or on a final judgment against an insured obtained after an actual trial; but we will not be liable for damages that are not payable under the terms of this Coverage Form or that are in excess of the applicable limit of insurance. An agreed settlement means a settlement and release of liability signed by us, the insured, and the claimant or the claimant's legal representative.

6. Other Insurance

If other valid and collectible insurance is available to the insured for a loss we cover under this Coverage Form, the insurance provided by this Coverage Form shall be excess over such other insurance, regardless of whether such other insurance is designated as primary or excess.

7. Transfer Of Rights Of Recovery Against Others To Us

If the insured has rights to recover all or part of any payment we have made under this Coverage Form, those rights are transferred to us. The insured must do nothing after loss to impair them. At our request, the insured will bring "suit" or transfer those rights to us and help us enforce them.

8. Two Or More Coverage Parts Or Policies Issued By Us

If two or more Coverage Parts or policies issued by us apply to any "wrongful act" or "loss" covered by this Coverage Form, there will be no duplication of coverage and the maximum amount we will pay for such "loss" will not exceed the highest applicable Limit of Insurance that applies to any one of the policies.

SECTION VIII – DEFINITIONS

1. "Defense expense" means any reasonable and necessary legal fees and expenses incurred in the defense of a claim, whether by the insured with our consent or by us at the insured's written request, in the investigation, adjustment, defense and appeal of a claim, except that "defense expense" shall not include:
 - a. Any amounts incurred in defense of any claim for which any other insurer has a duty to defend, regardless of whether or not such other insurer undertakes such duty; or
 - b. Salaries, wages, overhead or benefit expenses associated with any insured; or
 - c. Salaries, wages, overhead or benefit expenses associated with our employees.
2. "Directors" means
 - a. All persons who were, now are or shall be Directors, Officers, Trustees or members of an official board of governors, including a duly elected or appointed church board council, or a similar governing body of the organization shown in Item 1. of the Declarations, while acting within the scope of their duties as such, except as shown in Item 7. of the Declarations; and
 - b. In the event of the death or incapacity of a "Director", the estate, heirs, legal representatives, or assigns of the individual "Director", but only with respect to their duties as such.
3. "Loss" means damages, judgements, settlements, and "defense expenses", but "loss" shall not include:
 - a. Cost of attachment or similar bonds
 - b. Criminal or civil fines or penalties imposed by law;
 - c. Taxes; or
 - d. Matters deemed uninsurable under the law pursuant to which this policy shall be construed.
4. "Officers" means:
 - a. All persons who were, now are or shall be Directors, Officers, Trustees or members of an official board of governors, including a duly elected or appointed church board council, or a similar governing body of the organization shown in Item 1. of the Declarations, while acting within the scope of their duties as such, except as shown in Item 7. of the Declarations; and
 - b. In the event of the death or incapacity of an "Officer", the estate, heirs, legal representatives, or assigns of the individual "Director", but only with respect to their duties as such.
5. "Pollutant" means any solid, liquid, gaseous or thermal irritant or contaminant, including:
 - a. Smoke, vapor, soot, fumes, acids, alkalis, chemicals;
 - b. Radioactive matter, including electromagnetic fields or electromagnetic radiation;
 - c. Petroleum or petroleum products;
 - d. Asbestos or substances containing asbestos;
 - e. Lead or substances containing lead in any form; and
 - f. Waste, including materials to be recycled.

6. "Sexual misconduct or sexual molestation" is any activity which is sexual in nature, whether permitted or unpermitted, including but not limited to sexual assault, sexual battery, sexual relations, sexual acts, sexual activity, sexual handling, sexual massage, sexual exploitation, sexual exhibition, photographic, video or other reproduction of sexual activity, sexual stimulation, fondling, intimacy, exposure of sexual organs, lewd or lascivious behavior or indecent exposure, fornication, undue familiarity, or unauthorized touching.

7. "Subsidiary" means:

- a. Any not-for-profit organization of which you have or control the right to elect or appoint more than 50 percent of the "Directors" or "Officers"; or
- b. A for-profit company, other than a partnership or joint venture, of which you own more than 50 percent of the outstanding voting stock.

In the event of dissolution of a covered "subsidiary" after the inception date of the policy or renewal, coverage shall continue to apply to all persons who were "Directors" or "Officers" of the covered "subsidiary" for "wrongful acts" committed prior to the dissolution. In the event of sale of a covered "subsidiary", coverage shall cease as of the date of sale for subsequent "Directors" or "Officers".

8. "Suit" means a civil proceeding in which damages because of injury to which this insurance applies are alleged. "Suit" includes:

- a. An arbitration proceeding in which such damages are claimed and to which the insured must submit or does submit with our consent; or
- b. Any other alternative dispute resolution proceeding in which such damages are claimed and to which the insured submits with our consent.

9. "Wrongful act" means:

- a. Any actual or alleged error, misstatement, misleading statement, act, omission, or neglect or breach of duty by the "Directors" or "Officers" in the discharge of their duties (jointly or severally) for you; or
- b. Any matter claimed against your "Directors" or "Officers" solely by reason of their being your "Directors" or "Officers".

"Loss" arising out of the same "wrongful act" or interrelated, repeated, or continuous "wrongful acts" of one or more of your "Directors" or "Officers" shall be considered a single "loss" and shall be subject to only one retention.